

Management & Leadership Perspectives
WEEK 3 – Management in Practice
Ewa Carr-de Avelon / Ian Carr-de Avelon (guest speaker)

Our high-level plan for the next 6 weeks

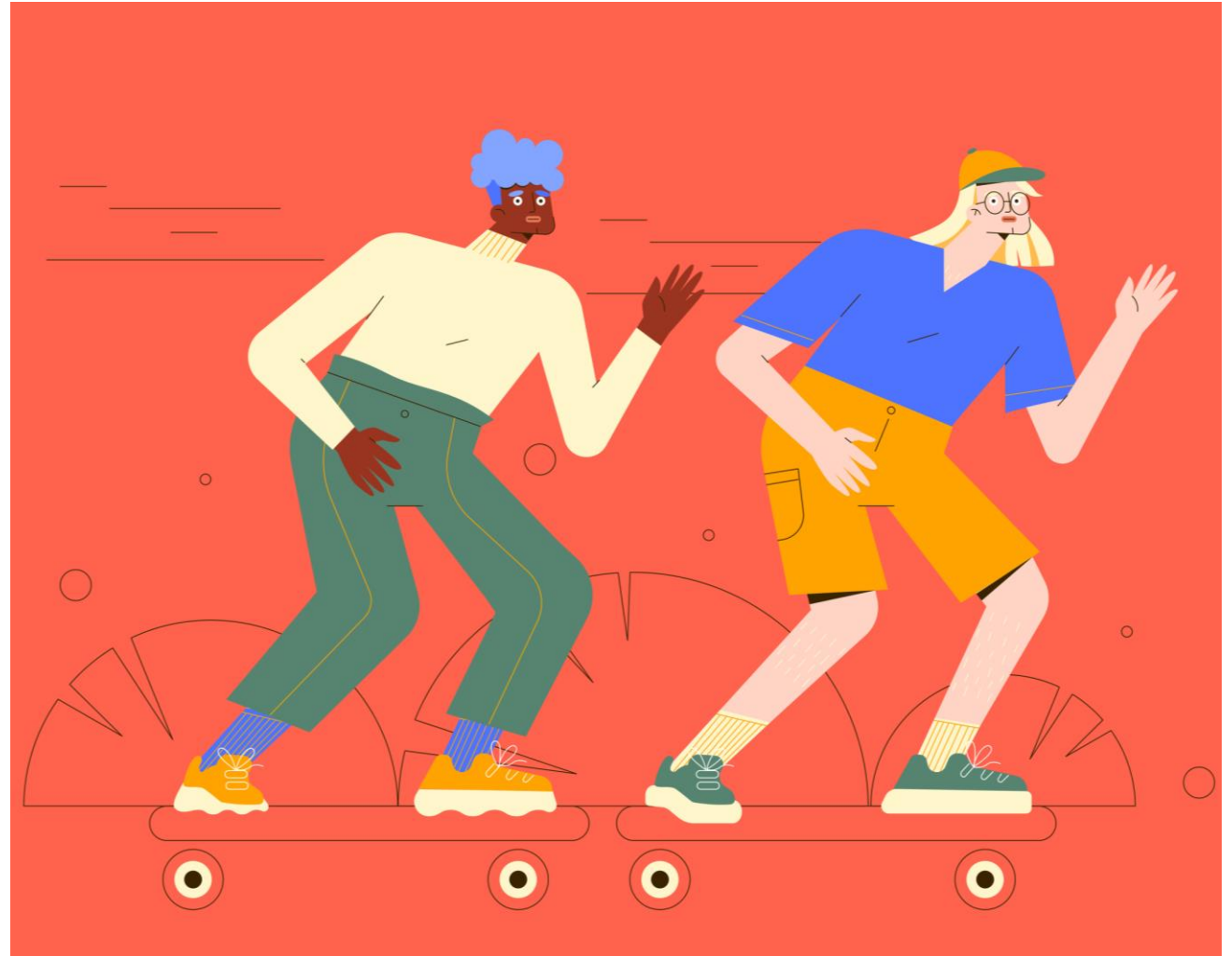
2	16.09.	DAY 1	Management Theory - Key theories and perspectives of leadership and management
	17.09.	DAY 2	
	18.09.	DAY 3	
	19.09.	POST	
	20.09.	PRE	
3	23.09.	DAY 1	Management in Practice - Leadership Styles
	24.09.	DAY 2	
	25.09.	DAY 3	
	26.09.	POST	
	27.09.	PRE	
4	30.09.	DAY 1	Delivering Change
	1.10.	DAY 2	
	2.10.	DAY 3	
	3.10.	POST	
	4.10.	PRE	
5	7.10.	DAY 1	Motivation and Team Working
	8.10.	DAY 2	
	9.10.	DAY 3	
	10.10.	POST	
	11.10.	PRE	
6	14.10.	DAY 1	Working with Stakeholders
	15.10.	DAY 2	
	16.10.	DAY 3	
	17.10.	POST	
	18.10.	PRE	

Methods:

- Group work 
- Oxford Debate 
- Case Studies 
- Simulations
- Study visit(s)
- Guest Speakers
- Workshops
- Quizzes 

Objectives of Week 3:

- Wrapping up the Management Theories week
- Looking into practical applications of theories
- Comparing & contrasting the roles of manager and leader
- Getting ready for the first essay due on Friday, Sept. 26th
- Asking questions & having fun - continued



Quotes of the Week

Management is doing things right;
leadership is doing the right things.

Peter Drucker

Management is efficiency in climbing
the ladder of success; leadership
determines whether the ladder is
leaning against the right wall.

Stephen Covey



DAY 1 - Management Theories wrap up
Ewa Carr-de Avelon

Agenda – Day 1

- Quick repetition
- Trait Theories - 4 “Cs” of personal credibility
- Sources of Power
- From Traits to Capitals
- Manager versus leader
- Getting ready for the first essay: Aula & Sample Student work



Quick repetition

What have we learnt about the management theories so far?

Main theories?

Main authors?



The historical debate about the role of management and leadership

Classical Theories

- Scientific Management - Frederick Taylor: Focuses on efficiency and productivity through standardization, division of labour, and time-and-motion studies.
- Administrative Management - Henri Fayol: Emphasizes organizational structure and management functions.
- Bureaucratic Management - Max Weber: Focuses on a structured hierarchy and clear rules to increase efficiency and predictability.

The Great Man vs. Trait Theories

- Various contributors over time.
- Trait theories focus on identifying specific personality traits that distinguish effective leaders.
- While early research emphasized innate traits ("The Great Man"), more recent views recognize that leadership effectiveness depends on a combination of traits, skills, and situational context.

(Week 2 - 3)



Situational Theories

- Paul Hersey and Kenneth Blanchard (1970s).
- Situational theories propose that effective leadership depends on adapting one's behaviour to the specific situation. The leader's approach should vary based on the readiness level of followers (their ability and willingness to perform tasks).

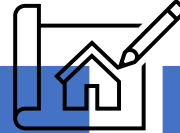
Contingency Theories

- Fred Fiedler (1967).
- Fiedler's contingency theory emphasizes the importance of context in effective leadership. It suggests that there is no universally best set of leadership traits or behaviours. Instead, the effectiveness of a leader depends on the match between their leadership style and the situational demands.

(HOMEWORK 17.09.24)



The historical debate about the role of management and leadership



Behavioural Theories X and Y

- Kurt Lewin, Douglas McGregor, and others.
- Behavioural theories focus on observable behaviours rather than inherent traits. They categorize leadership styles into task-oriented (focused on achieving goals) and relationship-oriented (emphasizing interpersonal relationships) approaches.

Transformational Leadership

- James MacGregor Burns (1978).
- Transformational leaders inspire and motivate followers to achieve extraordinary outcomes. They focus on vision, charisma, and empowering others. This theory emphasizes personal growth and collective success.

(HOMEWORK 18.09.24)

Distributed Leadership

- Peter Gronn (2000s).
- Distributed leadership challenges the idea of a single leader at the top. It recognizes that leadership is shared across various roles and levels within an organization. Collaboration and collective decision-making are central to this approach.

(TBD)

Participative Management

- Kurt Lewin (1930s-1940s).
- Participative management theories advocate involving employees in decision-making. Leaders who seek input from their team members create a more engaged and committed workforce.



(Week 3)

TRAIT THEORIES

Trait theories focus on identifying specific personality traits that distinguish effective leaders.

While early research emphasized innate traits, more recent views recognize that leadership effectiveness depends on a combination of traits, skills, and situational context.



Stephen Covey: The speed of.... ...TRUST



Trust is a function of 2 elements.

Trust is a function of two things:
.... Which ones?
character and competence. Character includes your integrity, your motive and your intent with people. Competence includes your capabilities, your skills, and your track record. Both are vital.

— Stephen Covey —

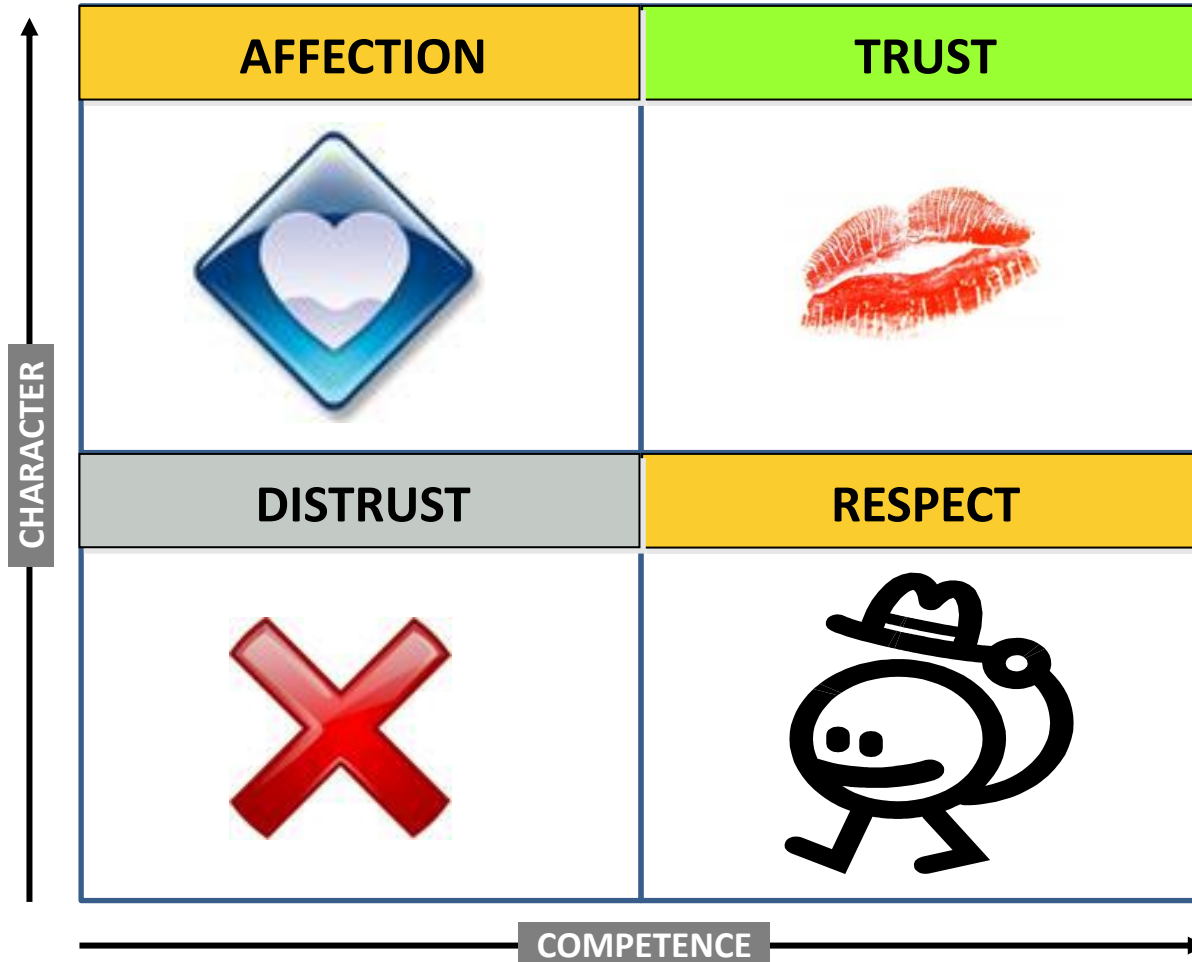
AZ QUOTES

Personal credibility: 4Cs

Competence	1. Continually demonstrating and learning relevant knowledge and expertise.	KNOW- WHAT
Consistency	1. Doing what you say you will do over time.	
Commitment	1. Persevering to achieve goals – overcoming obstacles and managing setbacks.	KNOW HOW – AKA CHARISMA
Concern: Caring	1. Demonstrating genuine interest in, and sensitivity to, the thoughts, feelings, viewpoints and experiences of others.	

Matthews, M. D. (2020). *Head strong: How psychology is revolutionizing war*. Oxford University Press (competence, character, caring) + Others.

Covey's Personal Credibility diagram



Competence – the possession of knowledge and skills required to complete a task
Can be learned

Character – integrity, motive and intent with people
Cannot be learned,
is a matter of personal decision



The Speed of Trust https://youtu.be/3Q-FgigaF9w?si=t5hsai_wEP-ocsgR

The brainstorming time: Why people follow? How do others get me to do unpopular things?



TASK 1

- Think about various life situations, in which were asked to do something, that you preferred not to do, but still, you did.
- List all the reasons, why you choose to do, what you had been asked for?
- Collect as many reasons as come to your mind and write them down on post it notes
- 1 reason = 1 post it

The brainstorming time: Why people follow? How do others get me to do unpopular things?



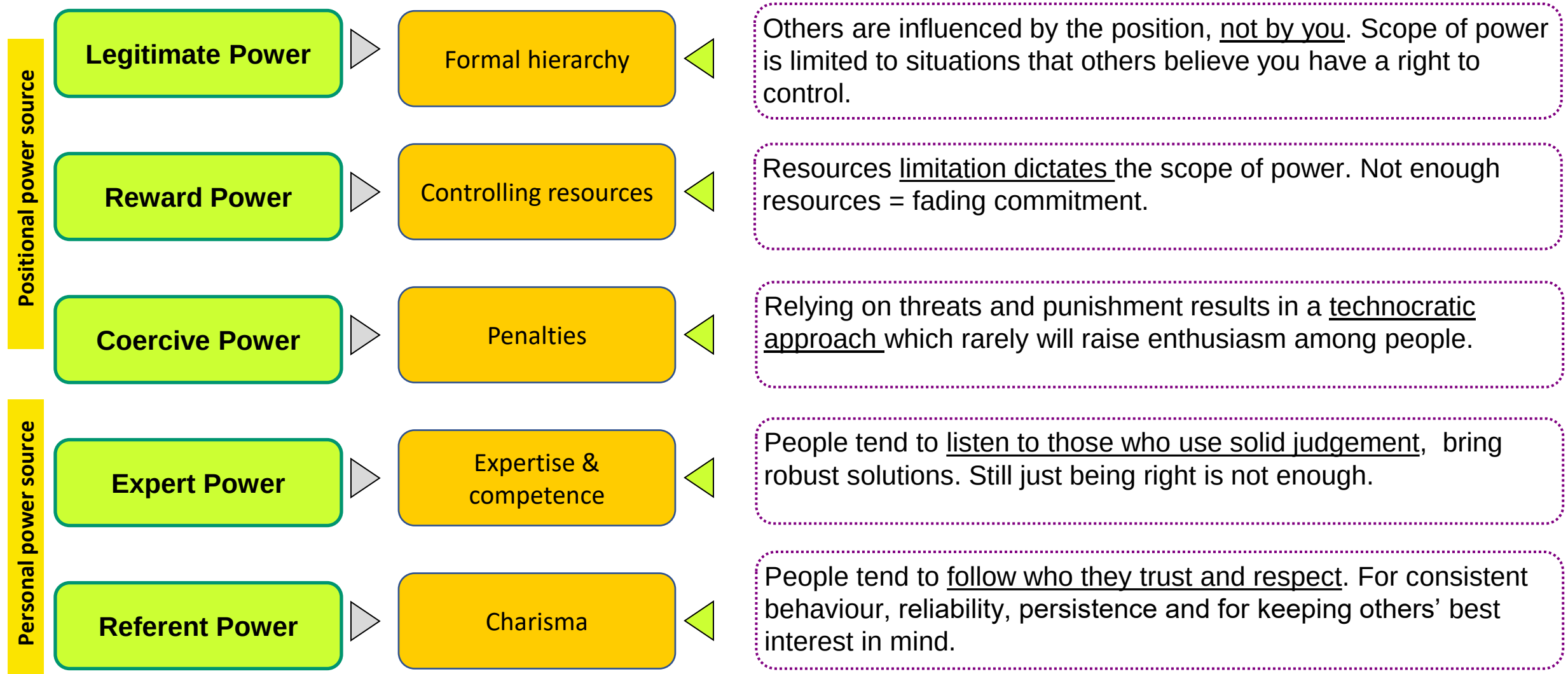
TASK 2

- Now, working in your groups, try to categorise the ideas gathered.
- Group them by similarities: look for patterns.
- One speaker will present the outcome for their group, other groups will be asked to fill in

Why people follow?

PERSONAL POWER
VS
POSITION POWER

Sources of Power



French, J. R. P., Jr., & Raven, B. (1959). The bases of social power. In D. Cartwright (Ed.), *Studies in social power* (pp. 150–167). University of Michigan.

Recommended use

Most



Recommended use

Moderate



Recommended use

Least



Positional power source

Legitimate Power



Formal hierarchy



Others are influenced by the position, not by you. Scope of power is limited to situations that others believe you have a right to control.

Reward Power



Controlling resources



Resources limitation dictates the scope of power. Not enough resources = fading commitment.

Coercive Power



Penalties



Relying on threats and punishment results in a technocratic approach which rarely will raise enthusiasm among people.

Personal power source

Expert Power



Expertise & competence



People tend to listen to those who use solid judgement, bring robust solutions. Still just being right is not enough.

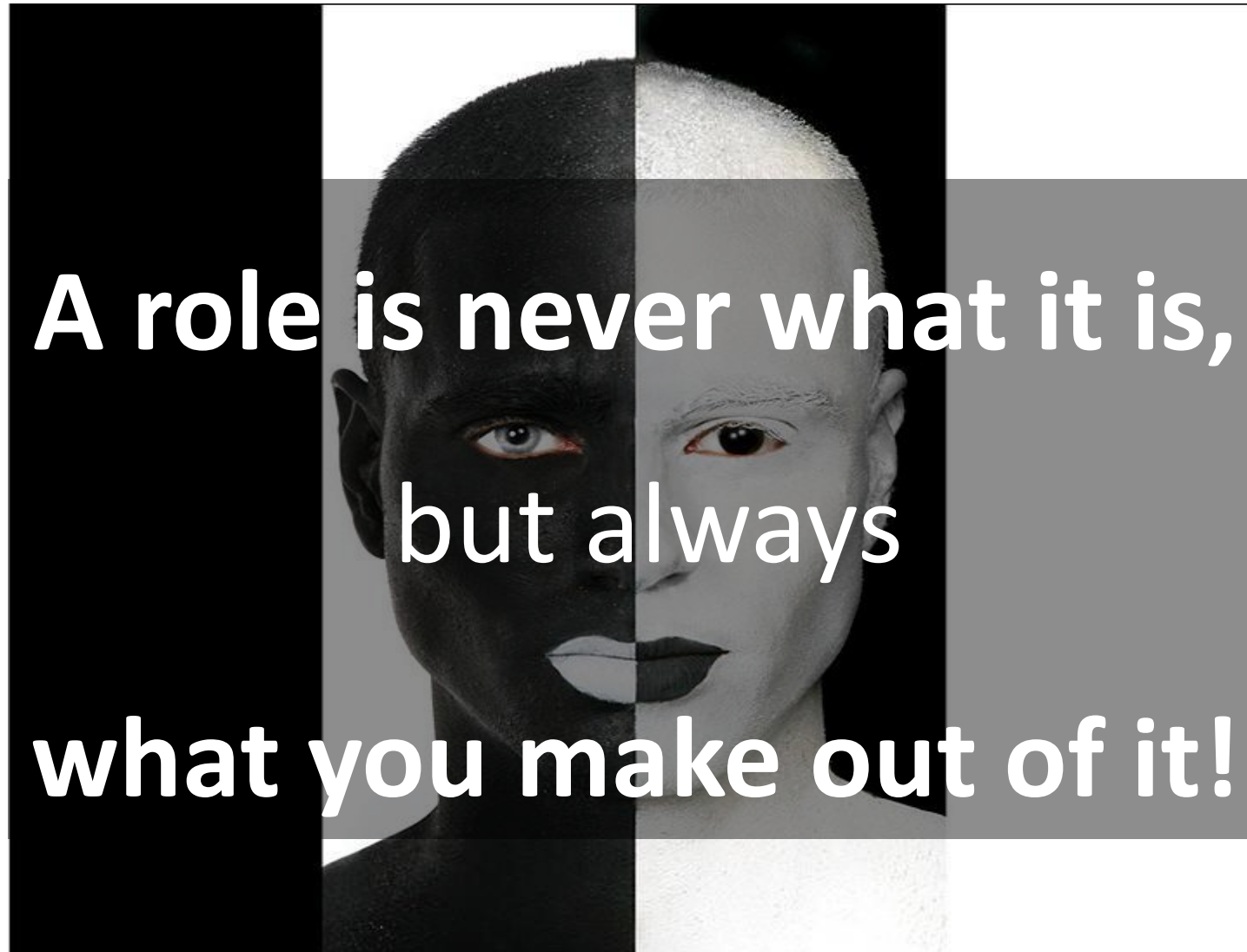
Referent Power



Charisma



People tend to follow who they trust and respect. For consistent behaviour, reliability, persistence and for keeping others' best interest in mind.





Authority and power are two different things: power is the force by means of which you can oblige others to obey you.

Authority is the right to direct and command, to be listened to or obeyed by others. Authority requests power. Power without authority is tyranny.

— *Jacques Maritain* —

AZ QUOTES

From traits to capitals: What makes one a good leader?

Traditional Economic Capital	Intellectual or Human Capital	Social Capital	Positive Psychological Capital
What you have e.g. finances, tangible assets, equipment, data	What you know e.g. education, skills, knowledge, ideas	Who you know e.g. network, relationships, friends	Who you are e.g. resilience, confidence, hope, optimism

Source: Luthans, F., Luthans, K. W., & Luthans, B. C. (2004). Positive psychological capital: Beyond human and social capital.

Which capital do you find the most important?

**Traditional
Economic Capital**

**Intellectual or
Human Capital**

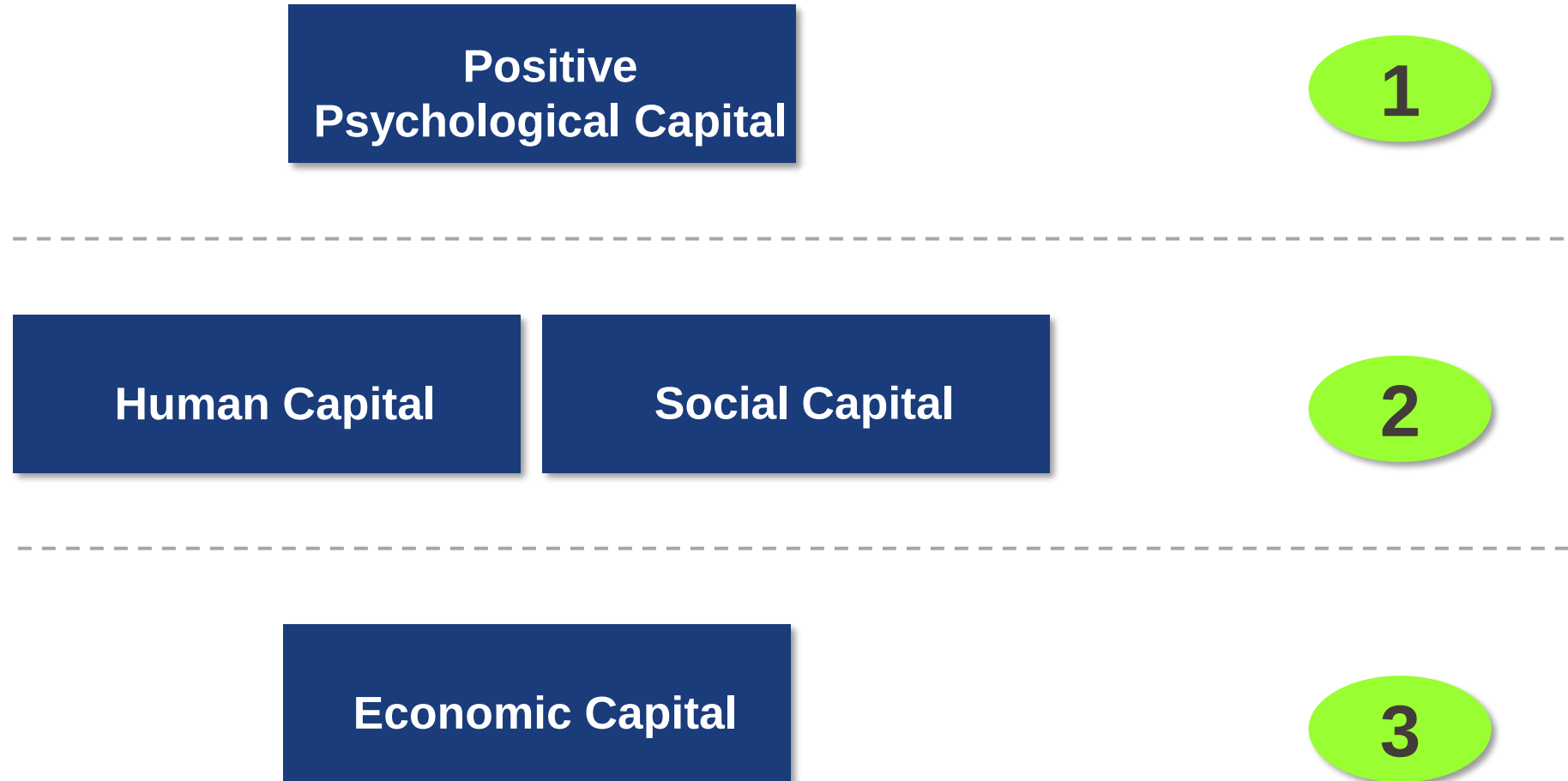
Social Capital

**Positive
Psychological
Capital**

Work in groups:

Rank the capitals by importance, discuss the rationale for your choice

From traits to capitals: What makes one a good leader?



What sets apart a good manager from a good leader?



Why is not every good manager a good leader?

TASK

Read the article by Steve Hogarty on key differences between leaders and managers

Based on the article, and the movie featuring prof. Alexander Lyon, compare these two roles: are they complementary?

Discuss in groups, why it is important to understand similarities and contrasts between management and leadership

The key differences between leaders and managers

What separates management from leadership?

The answer can make you a better boss

By [Steve Hogarty](#) June 28, 2022



Manager versus leader – a summary



Manager versus leader – exercise

Work in pairs:

- Each pair gets three different employees: Alex, Anna, Maria, David.
- Discuss and list behaviours you expect from a positive leader or manager for each persona.
- Compare your lists in groups and then share insights with the larger group.

The Junior Team Member (Alex)

Alex is fresh out of college, eager to learn, and full of energy. Is somehow disorganised, but enthusiastic. This is his first job.

The Junior Team Manager (Anna)

Anna is first time manager – just promoted due to her exceptional contribution as a specialist. She was a strong performer and believes she is great in whatever she does – which is not always true.

The Mid-Level Employee (Maria):

Maria has been with the company for several years and knows the ropes. Seeks autonomy and opportunities to contribute ideas. Appreciates leaders who recognize her expertise and involve her in decision-making.

The Expert with unique skills (David):

David has great subject matter expertise and highly unique technical skills.

Leadership performance

Leaders are expected to have a positive influence on the job performance of the team reporting to them.



The **most effective leaders** bring out the best in almost any group, under almost any circumstances.

15%



The **next best leaders** bring out the best in certain groups under certain circumstances.

30%



The **mediocre leaders** have little effect, if any, on their team's performance.

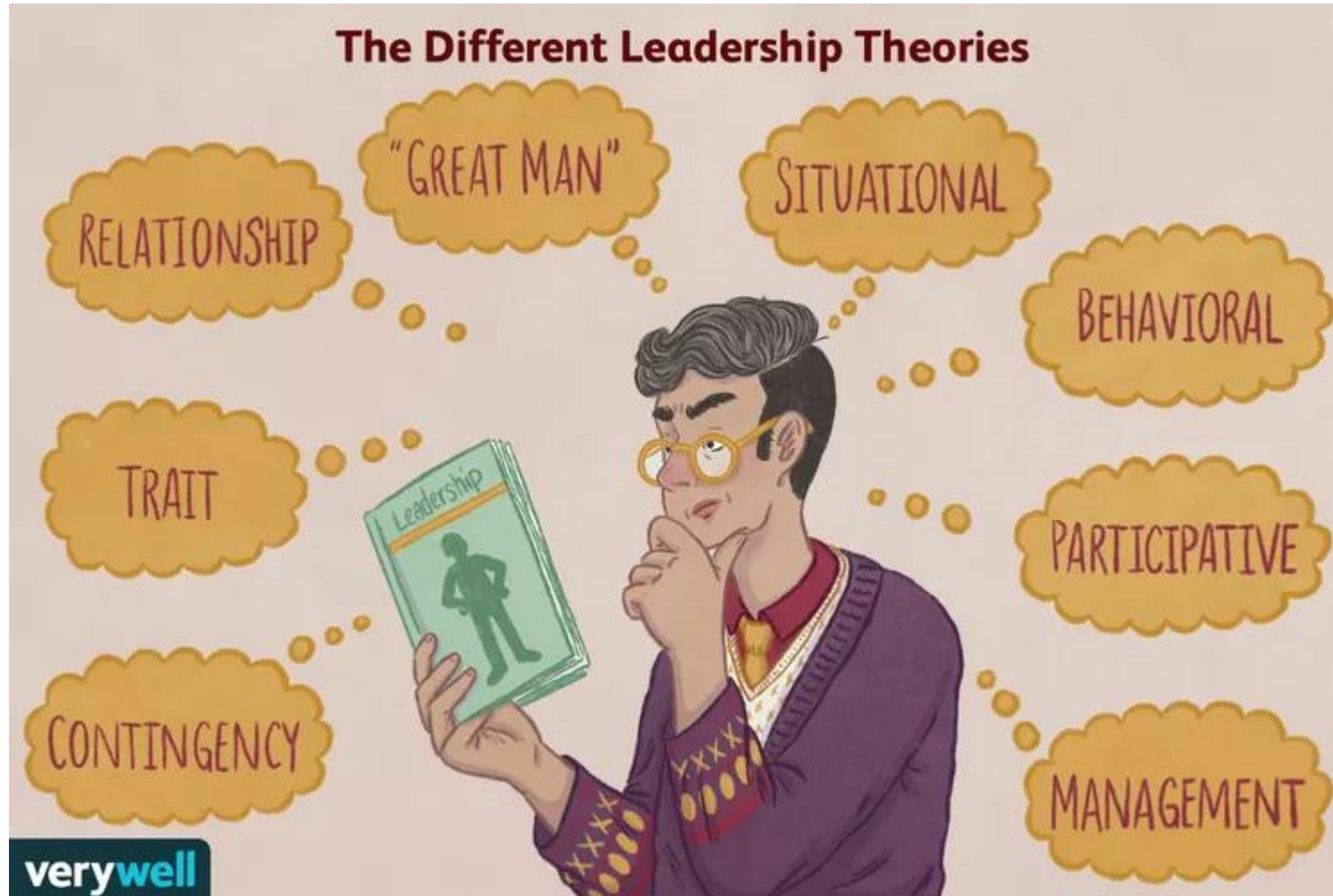
50%



The **demotivation leaders** actually make their team less productive.

5%

Management Theories – Leadership Theories



TO REMEMBER

- Theories provide different lenses for understanding leadership
- No single theory fully captures the complexity of leadership
- Effective leaders often draw from multiple perspectives, adapting their approach to the situation and the people they lead

Word count: 998

Co-founder and CEO of Revolut Nikolay Storonsky is in charge of a fintech empire that is propelled by a leadership style that combines revolutionary inspiration with dictatorial control.

Getting ready for the first essay: Sample work student 1

Even while this strategy has helped Revolut grow, its success depends on Storonsky's ability to maintain a careful balance between empowerment and ambition.

Rapid expansion has been facilitated by Storonsky's autocratic tendencies, which are demonstrated by his rigid adherence to rules, centralized decision-making, and intolerance for dissent. He has tight control over the company's direction thanks to his command-and-control management style, which facilitates quick decision-making.

Nonetheless, it has been argued that Storonsky's autocratic management style stifles originality and creativity. His strict regulations have discouraged open communication and it is believed that his micromanagement stifles employee ideas.

However, Storonsky also exhibits traits of transformational leadership. His ability to convey his vision for Revolut's future has given staff members a feeling of direction and drive. His rigorous standards push people to pursue success and promote a creative and productive atmosphere.

Over the past few years, Storonsky has gradually shifted his approach to giving his staff more freedom. Realising the importance of balance, he has given them the autonomy to decide for themselves and undertake responsibility for their job, which has resulted in a more motivated and effective workforce. 

The difficulty for Storonsky as a leader is striking a balance between his transformational and autocratic leadership styles. His success has mostly come from his ambition and desire for control, but these traits need to be restrained in favour of a more empowering and open communication style. Through promoting a cooperative and positive atmosphere, Storonsky can fully utilise his employees' skills while keeping the strict oversight required to successfully prosper in the competitive fintech market.

Conclusion

There isn't a one, ideal leadership approach for every situation. The team members, the conditions, and the leader's strengths will all influence the best leadership style. Among the most effective leadership philosophies are democratic leadership, which involves employees in decision-making, servant leadership, which prioritises the needs of workers, and transformational leadership, which pushes people to go beyond what they previously believed was possible. 

In the end, the most effective leadership style is the one that suits the specific situation and the employees. There isn't a single leadership style that works for everyone, but skilled leaders can modify their approach to suit every situation.

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GRADEMARK REPORT

GENERAL COMMENTS

General Comments

Please see feedback in the comment section below.

Critical Evaluation and Analysis.

less detailed and requires a more critical analysis that should compare or contrast the key theories and styles of leadership and management. Also, it should evaluate the role and influence of management and leadership style on team performance in meeting the strategic objectives of an organization.

It is good to see that, you have been able to apply the relevant theories and models to the chosen organization relating it to the leadership culture and management style practiced by both firms. However, this could have been evaluated and improved further.

Feedforward

- You will find additional comments and recommendations in separate sections of your work.

The report provides valuable insights into leadership and management in the fintech industry. Including comparative analysis with other industries could enrich understanding of how these leadership styles are uniquely suited to fintech.

Agenda – Day 2

- The Oil Industry Case Study – take 2
- CYNEFIN model for managing complexity
- Group work – Simple, Complicated, Complex, Chaos...?
- Library induction with Agnieszka



The Business Case: Managing ambiguity (Oil Industry)



Managing ambiguity: The CYNEFIN model



TASK 1

Watch the Cynefin Framework movie

What is the proposed way forward for each quadrant?

What type of practice should be used for each type of the situation?

<https://www.youtube.com/watch?v=N7oz366X0-8&list=PPSV>

How to adapt leadership response to the circumstances?

COMPLEX

we don't know what we don't know

..... → →

Trial and error

..... PRACTICE

How to adapt leadership response to the circumstances?

COMPLICATED

we know what we don't know

..... → →

Trial and error

..... PRACTICE

How to adapt leadership response to the circumstances?

CHAOTIC

..... —> —>

Strong leadership, loyalty

..... PRACTICE

How to adapt leadership response to the circumstances?

SIMPLE

..... → →

Instructions, processes, routines

..... PRACTICE

How to adapt leadership response to the circumstances?

Complex:
we don't
know
what we
don't
know

COMPLEX

try → recognize → respond

Trial and error

EMERGENT PRACTICE

COMPLICATED

recognize → analyze → respond

Communication, knowledge, experience

GOOD PRACTICE

Complicated:
we know
what we
don't know

CHAOTIC

act – recognize – respond

Strong leadership, loyalty

NOVEL PRACTICE

SIMPLE

recognize → categorize → respond

Instructions, processes, routines

BEST PRACTICE

How to adapt leadership response to the circumstances?

TASK 3

- Pick one random scenario of a business or life challenge
- Using the Cynefin Framework decide, which type of situation you are in
- What is the proposed way forward for your scenario?
- What type of practice would you chose?



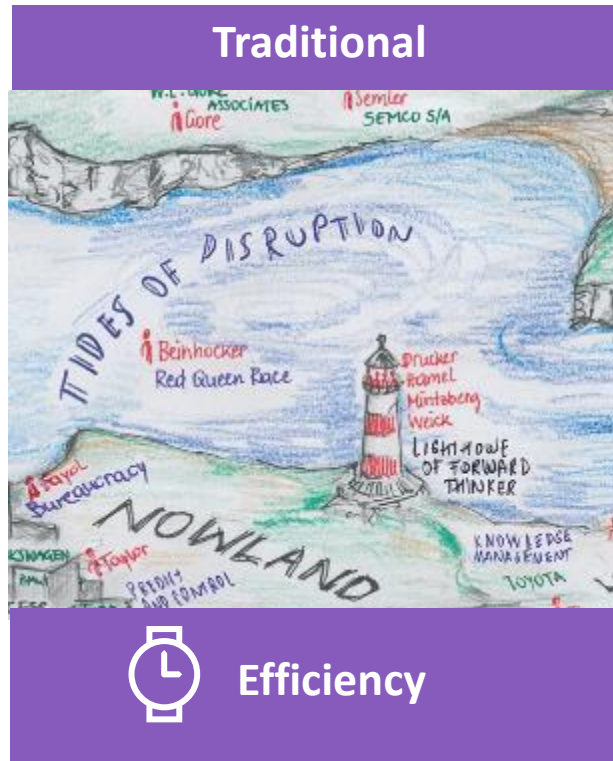
Nowland and Nextland: organizations must navigate on both continents



- Nowland will still be there tomorrow
- But it is on Nextland where tomorrow's winners will be decided.
- It is therefore necessary for an organization to be optimally positioned on both continents
- This requires **two different compasses** to navigate successfully, i.e. different approaches are required on the different continents.

By dwarfs and Giants, published in the German Harvard Business Manager Special Edition (1/2016)

Nowland and Nextland: Organizations must navigate on both continents



Ability of organizations to be both innovative and efficient at the same time.



This differentiated approach is also called "organizational ambidexterity"

Organizations must navigate on both continents: Nowland and Nextland



Nowland: Exploit potential to remain efficient

Ability of organizations to be both innovative and efficient at the same time.



Nextland: Increase responsiveness to seize opportunities and act in an innovative manner

Follow up Homework

Testing yourself: Are You a Transformational Leader?

<https://www.verywellmind.com/whats-your-leadership-style-3866929>



Agenda – Day 3

- Leadership styles
- 10.00-11.00 Library induction with Agnieszka – part 2
- Participative Management – Hollow Square
- Quiz – theory of management summary



Leadership styles

Testing yourself: Are You a Transformational Leader?

<https://www.verywellmind.com/whats-your-leadership-style-3866929>



What type of leader are you?



Kurt Lewin

Founder of social psychology

Proposed the interactionist perspective as an alternative to the black-and-white nature vs. nurture argument.

Both interact to make us who we are.

What type of leader are you?

- Share within your group what type of leadership style is likely to be dominant for you, according to the test.
- Is any of the styles not represented at your table?
- Think of any famous business leaders or politicians that can illustrate each of the styles.
- Discuss advantages and disadvantages of the autocratic, delegative, democratic, transformations style
- What other leadership styles can you name, not mentioned in Lewin's theory?

6 Common Leadership Styles — and How to Decide Which to Use When

by Rebecca Knight

April 9, 2024



Carol Yepes/Getty Images

Leadership styles: Is anyone better than the other?

THE 6 GOLEMAN LEADERSHIP STYLES

LEADERSHIP CAN BE DEFINED AS THE INFLUENCE ONE PERSON EXERTS OVER THE OTHER MEMBERS OF THE GROUP.



PARTICIPATIVE MANAGEMENT

THE HOLLOW SQUARE EXERCISE



What is on your mind?

What are you finishing the week 3 with?

What are you finishing the week 3 with?



Join: **4281 8772**

menti.com

<https://www.menti.com/al4z81zzgbe9>